

Clark considers staring at the screen all day as being counterproductive. He believes that watching every tick will lead to both selling good positions prematurely and overtrading. He advises traders to find something else (preferably productive) to occupy part of their time to avoid the pitfalls of watching the market too closely.

Clark believes traders need to monitor and control their equity to prevent any significant drawdown. “Your job as a trader,” he says, “[is to] protect the direction of the [equity] line.”

¹The strategy was rebranded as the Omni Global Fund in February 2007. Prior to that time, the strategy was called the Hartford Growth Fund and was not open to outside investors.

²“The city” is a small historic section in central London that is the heart of the financial district.

³For the sake of full disclosure, my son works at First New York Securities. Clark’s connection with the firm came as a complete surprise to me during the interview.

⁴In a standard stock-for-stock merger deal, risk arbitrage managers will buy the acquired company, which will trade at a discount to the announced share exchange ratio because of the risk that the deal might not go through, and hedge by selling the acquiring company. If the deal goes through, they will earn the discount. Clark might do the trade as a conventional arbitrage, or he might do outright trades in the companies involved in the merger.

⁵A rights issue is one way a company can raise capital. Rights are issued to existing shareholders and allow them to purchase additional shares in proportion to their holdings, typically at a discount to the current market price, for a fixed period of time. Shareholders can either exercise their rights, buying additional shares at a discount, or sell their rights if they do not wish to purchase any additional shares. The intrinsic value is the difference between the market price and the price at which the rights can be exercised. If shares are available to borrow, rights will trade above the intrinsic price because otherwise, buying the rights and shorting the stock would provide a risk-free arbitrage.